

Notes: Dinc and Erel (JF, 2013)

Economic Nationalism in Mergers and Acquisitions

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1 Executive summary

Dinc and Erel (2013) study **direct government reactions** to large corporate merger attempts in the European Union (EU) during 1997–2006 using hand-collected news-based evidence on whether the target-country government *opposes*, *supports*, or *stays neutral* toward a bid. The central conclusion is that **economic nationalism is widespread**: relative to domestic bids, foreign bids are much more likely to face government opposition and much less likely to receive government support. Nationalism is stronger when **nationalist sentiment is stronger** (e.g., higher vote share for far-right parties; stronger anti-foreigner attitudes), when **governments are weaker** (coalitions, low vote share), and when certain EU-political conditions hold (rotational presidency). Government reactions have:

- **direct effects**: opposition reduces completion probabilities; support increases completion probabilities;
- **indirect effects**: nationalist interventions deter future foreign acquisition attempts in that country for about 1–2 years.

A key nuance is that the paper finds **no statistically significant effect** of government opposition/support on *premiums* once endogeneity is addressed with an instrumental-variables design.

2 Data, sample construction, and measurement

2.1 Core sample for government reactions (Tables I–X; Figure 1)

- **Countries**: the first 15 EU countries (Austria, Belgium, Denmark, Finland, France, Germany, Greece, Ireland, Italy, Luxembourg, Netherlands, Portugal, Spain, Sweden, UK).
- **Targets**: the **largest 25** firms by market capitalization in each country as of 1996.
- **Period**: 1997–2006.
- **Bids**: all merger attempts toward these targets (including multiple bidders for the same target); total 415 bids.

2.2 Government reaction variable

For each bid, the target-country government reaction is coded as one of:

$$G \in \{\text{Opposition, Support, Neutral/No reaction}\}.$$

The central “nationalism” object is the **difference in reactions** between foreign and domestic acquirers.

2.3 Key firm and bid controls (Table II)

Let i be a bid for target firm f in country c at time t . Main controls used throughout:

- Target size: $\ln(\text{MarketCap}_{f,t-1})$.
- Target profitability: $\text{NetIncome}/\text{MarketCap}$ (last fiscal year-end).
- Deal competitiveness: CompetingBidDummy .
- Deal hostility: $\text{Hostile}/\text{UnsolicitedDummy}$.
- Acquirer size and profitability (robustness and outcomes): $\ln(\text{AcquirerMarketCap})$, $\text{AcqNetIncome}/\text{AcqMarketCap}$.
- Payment form (robustness): $\text{Stock}/\text{HybridPayment}$.
- Macroeconomic conditions (robustness/hazards): $\text{GDPGrowth}_{c,t-1}$, $\text{Unemployment}_{c,t-1}$.

2.4 Nationalist sentiment, sociological proximity, and politics (Tables III, V, VI)

- **Far-right vote share** in the target country (proxy for nationalist sentiment).
- **Anti-foreigner attitudes**: “Too Many Foreigners” from Eurobarometer.
- **Cross-country affinity**: trust toward the acquirer country (Guiso–Sapienza–Zingales style); lagged Eurovision votes.
- **Political strength and structure**: coalition government; government vote share; right-leaningness of the PM party.
- **EU politics**: rotational EU presidency; European Commission presidency.

2.5 Important measurement caveat (from the conclusion)

The sample necessarily conditions on *observed bids*. If governments deter foreign bidders *before* a bid is made (or at the rumor stage), such deterrence is not captured. Hence, measured nationalism from observed government reactions likely **understates** the full extent of nationalism.

3 Empirical models (“all models” used in the paper)

3.1 Model 1: Multinomial logit for government reactions (Tables III–VI)

The government chooses among three discrete outcomes. Take **Neutral/No reaction** as the base outcome. For $j \in \{\text{Opposition}, \text{Support}\}$, the multinomial logit takes the form:

$$\Pr(G_i = j \mid X_i) = \frac{\exp(X_i' \beta_j)}{1 + \sum_{k \in \{\text{Opp}, \text{Sup}\}} \exp(X_i' \beta_k)}, \quad \Pr(G_i = \text{Neutral} \mid X_i) = \frac{1}{1 + \sum_k \exp(X_i' \beta_k)}. \quad (1)$$

The paper reports **average marginal effects** (AMEs):

$$\text{AME}(x) = \frac{1}{N} \sum_{i=1}^N \frac{\partial \Pr(G_i = j \mid X_i)}{\partial x} \Big|_{X_i}.$$

A core regressor is:

$$\text{ForeignAcquirerDummy}_i = \mathbf{1}\{\text{acquirer country} \neq \text{target country}\}.$$

Baseline nationalism test (Table III). A parsimonious specification is:

$$X_i = \left(\text{Foreign}_i, \ln(\text{MarketCap}_f), \text{Profit}_f, \text{Competing}_i, \text{Hostile}_i, \text{Year FE}, \text{Industry FE}, \text{Country FE} \right). \quad (2)$$

Then **economic nationalism** is identified by the sign pattern:

$$\text{Foreign} \uparrow \Rightarrow \text{Pr}(\text{Opposition}) \uparrow, \quad \text{Pr}(\text{Support}) \downarrow.$$

Nationalist sentiment interaction (Table III, col. (3)). To test whether nationalism strengthens with nationalist sentiment:

$$X_i \supset \left(\text{FarRightVoteShare}_c, \text{Foreign}_i \times \text{FarRightVoteShare}_c \right), \quad (3)$$

with country fixed effects dropped when the country-level sentiment proxy is included.

3.2 Model 2: Robustness extensions of the multinomial logit (Table IV)

Macroeconomic robustness (Table IV, Panel A). Include macro conditions and their interactions with the foreign dummy:

$$X_i \supset \left(\text{GDPGrowth}_{c,t-1}, \text{Unemployment}_{c,t-1}, \text{Foreign}_i \times \text{GDPGrowth}_{c,t-1}, \text{Foreign}_i \times \text{Unemployment}_{c,t-1} \right). \quad (4)$$

Acquirer/bid characteristics (Table IV, Panel B). Include acquirer variables and payment form:

$$X_i \supset \left(\ln(\text{AcquirerMarketCap}), \text{AcquirerProfit}, \text{Stock/HybridPayment} \right), \quad (5)$$

and include target-nation fixed effects in these robustness checks.

3.3 Model 3: Sociological factors behind nationalism (Table V)

Each regression interacts **Foreign** with one sociological factor S :

$$X_i \supset \left(S_{c,a}, \text{Foreign}_i \times S_{c,a} \right), \quad (6)$$

where S can be anti-foreigner attitudes in the target country, bilateral trust, Eurovision votes, same language, same religion, or common border.

3.4 Model 4: Political factors behind nationalism (Table VI)

Similarly interact **Foreign** with a political factor P :

$$X_i \supset (P_{c,t}, \text{Foreign}_i \times P_{c,t}), \quad (7)$$

where P includes right-leaningness, coalition government, government vote share, EU rotational presidency, and European Commission presidency.

3.5 Model 5: Direct impact on merger completion (Table VIII)

Define $\text{Success}_i = 1$ if the bid is completed; 0 otherwise. Estimate a logit:

$$\Pr(\text{Success}_i = 1 \mid Z_i) = \Lambda(Z_i' \gamma), \quad \Lambda(u) = \frac{e^u}{1 + e^u}. \quad (8)$$

Key regressors:

$$Z_i \supset (\text{GovernmentOpposition}_i, \text{GovernmentSupport}_i, \text{Foreign}_i, \text{controls}, \text{FE}),$$

and in an extended specification:

$$Z_i \supset \text{EuropeanCommissionIntervention}_i,$$

to capture the EU-level enforcement/pressure channel.

3.6 Model 6: Premium effects and IV design (Tables IX–X)

Premium construction (Table IX).

$$\text{PremiumOffered}_i = \frac{\text{FinalOfferPrice}_i - P_{f,t-4w}}{P_{f,t-4w}},$$

winsorized at the 5th/95th percentiles. Define “premium received” to incorporate failures:

$$\text{PremiumReceived}_i = \text{PremiumOffered}_i \times \text{Success}_i.$$

Endogeneity concern. Government opposition/support may be correlated with unobservables affecting premiums (political salience, expected synergies, etc.).

First stage (Table X): probit for government reaction indicators. Two separate probits:

$$\Pr(\text{Opposition}_i = 1 \mid W_i) = \Phi(W_i' \pi^{(O)}), \quad (9)$$

$$\Pr(\text{Support}_i = 1 \mid W_i) = \Phi(W_i' \pi^{(S)}), \quad (10)$$

with instruments (political-structure and EU-politics shifters):

$$W_i \supset \left(\text{CoalitionDummy}_{c,t}, \text{GovtVoteShare}_{c,t}, \text{EC PresidencyDummy}_{c,t} \right),$$

plus standard controls and fixed effects.

Second stage (Table X): 2SLS using predicted probabilities as instruments. Following Wooldridge (2007), use fitted probabilities $\hat{p}_i^{(O)}$, $\hat{p}_i^{(S)}$ as instruments for the binary endogenous variables. Second-stage linear models:

$$\text{PremiumOffered}_i = \alpha + \beta_O \text{Opposition}_i + \beta_S \text{Support}_i + \delta' X_i + \varepsilon_i, \quad (11)$$

$$\text{PremiumReceived}_i = \alpha + \beta_O \text{Opposition}_i + \beta_S \text{Support}_i + \delta' X_i + \varepsilon_i, \quad (12)$$

instrumenting $(\text{Opposition}_i, \text{Support}_i)$ by $(\hat{p}_i^{(O)}, \hat{p}_i^{(S)})$. The paper reports first-stage F-statistics to assess instrument relevance.

3.7 Model 7: Indirect impact via deterrence (hazard models; Figure 2; Tables XI–XII)

The deterrence question is whether a **nationalist intervention** in a country reduces subsequent **arrival of foreign bids** for other firms.

Extended sample for hazards. Top 50 listed companies in each country (except Luxembourg), followed from 1997 through 2006 or until becoming a target.

Cox proportional hazard model. Let T_f be the time until firm f receives its first foreign bid. The hazard is:

$$h_f(t \mid X_f(t)) = h_0(t) \exp(X_f(t)' \theta). \quad (13)$$

The key regressors are a set of **six half-year indicators** after the most recent nationalist reaction in the country:

$$\{1\text{stHalfYear}_{c,t}, \dots, 6\text{thHalfYear}_{c,t}\},$$

and an alternative construction allowing *all* nationalist interventions in the previous 3 years to load simultaneously (as described in the table captions). A negative coefficient on a half-year dummy implies a lower hazard (slower arrival) of a foreign bid in that window.

4 Interpretation of figures and tables

4.1 Figure 1: Domestic vs. foreign bids and government reactions

Figure 1 visually summarizes the key descriptive fact: governments are much more likely to **support domestic bids** and **oppose foreign bids**. Numerically, Table I shows:

- Domestic bids: support 34, opposition 9.

- Foreign bids: support 7, opposition 28.

This is the most direct evidence of economic nationalism at the government-reaction level.

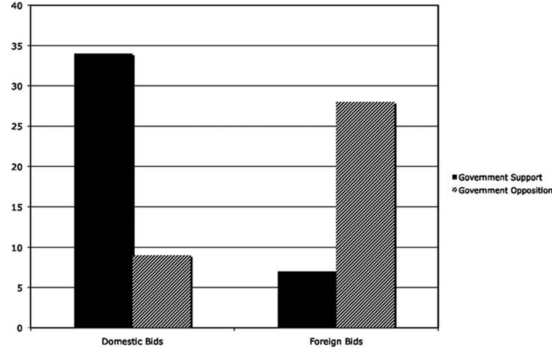


Figure 1. Government support/opposition for domestic and foreign acquisition attempts. This figure shows the reaction (support vs. opposition) of the target country's government to merger bids. The sample contains the 25 largest merger bids by market capitalization in each of the 15 EU countries as of 1996. These countries are Austria, Belgium, Denmark, Finland, France, Germany, Greece, Ireland, Italy, Luxembourg, the Netherlands, Portugal, Spain, Sweden, and the United Kingdom. If there are multiple bidders for the same target, all bids are included. There are 415 merger attempts in total. The sample period is 1997 to 2006.

**Table I
Government Reaction to Domestic and Foreign Merger Bids**

This table reports the reaction of the target country's government to merger bids. The sample contains the largest 25 merger targets by market capitalization in each of the 15 EU countries as of 1996. If there are competing bidders for the same target, all bids are included so a country's total may exceed 25. These countries are Austria, Belgium, Denmark, Finland, France, Germany, Greece, Ireland, Italy, Luxembourg, the Netherlands, Portugal, Spain, Sweden, and the United Kingdom. The sample period is 1997 to 2006. Pearson Chi-squared tests the equality of distributions between domestic bids and foreign bids across government reactions.

	Government Reaction			Total
	Opposition	Neutral	Support	
Domestic Bids	9	154	34	197
Foreign Bids	28	183	7	218
Total	37	337	41	415

Note: Pearson's Chi-squared p -value < 0.001.

4.2 Table I: Government reaction tabulation

Table I is the baseline cross-tab:

- The modal category is **Neutral** for both domestic and foreign bids.
- Conditional on reacting, governments **favor domestic ownership**: opposition is far more common for foreign bids, and support is far more common for domestic bids.
- The Pearson chi-squared test rejects equality of distributions (p -value < 0.001).

4.3 Table II: Sample statistics and immediate patterns

Panel A (domestic vs. foreign acquirers). Target characteristics are broadly similar across domestic vs. foreign bids in medians (market cap and profitability), and hostility is not statistically different. This reduces concerns that *simple target differences* fully explain different reactions.

Panel B (by government reaction). Opposed bids are much more likely to be **hostile/unsolicited** and much more likely to have a **foreign bidder**. This motivates a multivariate discrete-choice model to isolate the “foreign” effect controlling for hostility and other deal/target factors.

4.4 Table III: Main multinomial logit results (economic nationalism and far-right sentiment)

Table III estimates the multinomial logit and reports average marginal effects for opposition and support relative to neutral.

- **Nationalism:** adding the foreign-acquirer indicator yields a large effect: foreign bids are substantially more likely to face opposition and less likely to receive support.

Table II
Sample Statistics for Merger Bids

The statistics describe target firms and merger bids that they receive by whether the acquirer is foreign or domestic (Panel A) and by the reaction of the target country's government (Panel B). Our sample contains the 25 largest targets in each of the first 15 EU countries (as of 1996) between 1997 and 2006. *Market Cap.* is the market capitalization of target firms in real euros as of 4 weeks before the merger bid. *Net Income/Market Cap* is the ratio of the target firm's net income over market capitalization as of the most recent fiscal year-end before the bid is announced. *Hostile/Unsolicited Bid Dummy* takes a value of one if the bid is classified as hostile and/or unsolicited, and zero otherwise. The last row in each panel reports the number of observations for all variables except the number of observations for *Net Income/Market Cap*, which is in parentheses. *p*-values from Wilcoxon rank-sum tests for the medians and mean difference tests for the means (between opposition and support samples in Panel B) are reported. The symbols ***, **, and * indicate significance at the 1%, 5%, and 10% levels, respectively.

Panel A: Nationality of the Acquirer					
	Statistic	Domestic Bidder	Foreign Bidder	<i>p</i> -Value	All
Market Cap. (Billions euro)	Median	2.91	1.69	0.40	2.49
Net Income/Market Cap	Median	5.8%	5.9%	0.895	5.8%
Hostile/Unsolicited Bid Dummy	Mean	16.8%	12.4%	0.21	14.5%
	N	197 (196)	218 (217)		415 (413)

Panel B: Government Reaction						
	Statistic	Opposition	Support	<i>p</i> -Value	Neutral	All
Market Cap. (Billions euro)	Median	6.3	6.6	0.645	1.4	2.5
Net Income/Market Cap	Median	5.8%	5.6%	0.76	5.8%	5.8%
Hostile/Unsolicited Bid Dummy	Mean	43.2%	17.1%	0.012**	11.0%	14.5%
Foreign Bidder Dummy	Mean	75.7%	17.1%	0.00***	54.3%	52.5%
	N	37	41		337 (335)	415 (413)

Table III
Nationalism in Mergers and Acquisitions: Main Regressions

This table reports average marginal effect estimates for a multinomial logit model. The dependent variable is the government reaction, which can be opposition, support, or the base outcome, no/neutral reaction. *Foreign Acquirer Dummy* is equal to one if the bidder is not from the same country as the target firm and zero otherwise. *Ln(Market Cap)* is the natural logarithm of the target firm's market capitalization and *Net Income/Market Cap* is the ratio of its net income over market cap as of the most recent fiscal year-end before the bid is announced. *Competing Bid Dummy* is equal to one if there is a competing bid for the target and zero otherwise. *Hostile/Unsolicited Bid Dummy* is equal to one if the bid is classified as hostile and/or unsolicited. *Far Right Vote Share* is the share of votes obtained by extreme right parties in the most recent election in the target country before the bid was announced. Heteroskedasticity-robust standard errors, corrected for clustering of observations at the target country level, are in parentheses. The symbols ***, **, and * indicate significance at the 1%, 5%, and 10% levels, respectively.

	Government Reaction					
	(1)		(2)		(3)	
	Opposition	Support	Opposition	Support	Opposition	Support
Foreign Acquirer Dummy			0.151*** (0.039)	-0.136*** (0.016)	0.113*** (0.036)	-0.125*** (0.019)
Far Right Vote Share					0.005** (0.002)	0.004*** (0.001)
Foreign Acquirer Dummy * Far Right Vote Share					0.006* (0.003)	-0.008*** (0.002)
Ln(Market Cap)	0.019*** (0.006)	0.032*** (0.011)	0.016** (0.006)	0.039*** (0.011)	0.017*** (0.005)	0.024*** (0.008)
Net Income/Market Cap	0.136 (0.160)	0.012 (0.271)	0.134 (0.131)	0.008 (0.255)	0.146 (0.123)	0.037 (0.239)
Competing Bid Dummy	0.065* (0.039)	0.073** (0.032)	0.080** (0.036)	0.065* (0.039)	0.040 (0.036)	0.061* (0.033)
Hostile/Unsolicited Bid Dummy	0.083** (0.039)	-0.005 (0.024)	0.094*** (0.026)	-0.013 (0.039)	0.104*** (0.034)	-0.014 (0.029)
Year FEs	Yes	Yes	Yes	Yes	Yes	Yes
Target Country FEs	Yes	Yes	Yes	Yes	No	No
Target Industry FEs	Yes	Yes	Yes	Yes	Yes	Yes
	413 0.339		413 0.417		411 0.295	

- **Hostility:** hostile/unsolicited bids raise opposition probabilities (consistent with political salience and “defending champions”).
- **Target size:** larger targets increase intervention probabilities (“national champions” are more politically salient).
- **Far-right interaction:** nationalism strengthens where far-right vote shares are higher: the foreign effect on opposition increases with far-right support, and the foreign effect on support becomes more negative.

4.5 Table IV: Robustness

Panel A (macroeconomy). GDP growth and unemployment (and their interactions with foreign) do not meaningfully overturn the core nationalism result: the foreign-acquirer effect remains strong, while macro interactions are not precisely estimated. Interpretation: nationalism appears primarily **sociological/political** rather than driven by short-run macro conditions.

Panel B (acquirer and payment form). Including acquirer size/profitability and stock/hybrid payment also leaves the foreign effect intact. Payment form matters mainly for **support**: stock/hybrid payment is associated with a higher probability of support. Overall: the nationalism pattern is not an artifact of these deal/acquirer features.

4.6 Table V: Sociological factors behind nationalism

Table V interacts the foreign dummy with sociological proximity/attitudes:

- **Anti-foreigner attitudes:** when a larger share of the public agrees there are “too many foreigners,” foreign bids are more likely to be opposed.

Table IV
Nationalism in Mergers and Acquisitions: Robustness

This table reports average marginal effect estimates for a multinomial logit model. Panel A include tests for robustness to macroeconomic factors. Panel B includes tests for robustness to acquirer and bid characteristics. The dependent variable is the government's reaction, which can be opposition, support, or the base outcome, *no/neutral* reaction. *Foreign Acquirer Dummy* is equal to one if the bidder is not from the same country as the target firm and zero otherwise. Macroeconomic controls are the target country's *GDP Growth* and *Unemployment Rate* as a percentage of total labor force (both as of the previous year-end). Other control variables included but not reported are *Ln(Market Cap, Net Income/Market Cap, Competing Bid Dummy, Hostile/Unsolicited Bid Dummy, Year FEs, and Target Industry FEs* (both in Panels A and B) and *Target Nation FEs* (only in Panel B). Heteroskedasticity-robust standard errors, corrected for clustering of observations at the target country level, are in parentheses. The symbols ***, **, and * indicate significance at the 1%, 5%, and 10% levels, respectively.

Panel A: Robustness to Macroeconomic Factors				
	Government Reaction			
	(1)		(2)	
	Opposition	Support	Opposition	Support
Foreign Acquirer Dummy	0.109*** (0.040)	-0.126*** (0.036)	0.117*** (0.035)	-0.127*** (0.039)
GDP Growth Rate	-0.017 (0.017)	0.009 (0.008)		
Foreign Acquirer * GDP Growth	-0.027 (0.023)	0.005 (0.024)		
Unemployment Rate			0.007 (0.007)	-0.000 (0.005)
Foreign Acquirer * Unemployment			-0.004 (0.012)	0.003 (0.009)
Observations	413		413	
Pseudo-R ²	0.260		0.267	

Panel B: Robustness to Some Acquirer and Bid Characteristics				
	Government Reaction			
	(1)		(2)	
	Oppose	Support	Oppose	Support
Foreign Acquirer Dummy	0.173*** (0.040)	-0.185*** (0.040)	0.149*** (0.040)	-0.136*** (0.032)
Ln(Acquirer Market Cap)	-0.005 (0.012)	-0.009 (0.014)		
Acq. Net Income/Mrkt Cap	0.088 (0.171)	-0.349 (0.510)		
Stock/Hybrid Payment			0.036 (0.031)	0.101*** (0.016)
Observations	255		342	
Pseudo-R ²	0.468		0.477	

Table V
Sociological Factors behind Nationalism

This table reports average marginal effect estimates for a multinomial logit model. The dependent variable is the government's reaction, which can be opposition, support, or the base outcome, *no/neutral* reaction. *Foreign Acquirer Dummy* is equal to one if the bidder is not from the same country as the target firm and zero otherwise. In each regression, *Foreign Acquirer Dummy* is interacted with one of the sociological factors. *Too Many Foreigners* is the level of percent of people who agree with the statement "There are Too Many Foreigners in my country" in a 1997 Eurobarometer survey; *Trust* is the median trust felt by the people of the target country for the acquiring firm's country following Guiso, Sapienza, and Zingales (2009); and *Ln(Lagged Eurovision Votes)* is the natural logarithm of the votes the acquiring firm's country received from the target country in the Eurovision song contest in the previous year. *Same Language (Religion) Dummy* equals one if the people in the target and acquirer countries speak the same language (share the same religion) using data from Stula and Williamson (2003). *Common Border Dummy* takes a value of one if the target and the acquirer countries share a land border or are separated by 24 miles of water or less ([http://www.correlatesofwar.org/COW25.0/Data/StreetCentrality\(CV\).doc.htm](http://www.correlatesofwar.org/COW25.0/Data/StreetCentrality(CV).doc.htm)). Heteroskedasticity-robust standard errors, corrected for clustering of observations at the target country level, are in parentheses. The symbols ***, **, and * indicate significance at the 1%, 5%, and 10% levels, respectively.

	Too Many Foreigners		Trust		Ln(Lagged Eurovision Votes)	
	Government Reaction					
	(1)		(2)		(3)	
Sociological Factor:	Opposition	Support	Opposition	Support	Opposition	Support
Foreign Acquirer Dummy	0.110*** (0.036)	-0.139*** (0.037)	0.136*** (0.042)	-0.135*** (0.042)	0.072* (0.042)	-0.100*** (0.033)
Foreign Acq. Dummy*Sociological Factor	0.007*** (0.003)	-0.002 (0.003)	-0.143*** (0.042)	0.201* (0.105)	-0.652*** (0.019)	0.020 (0.035)
Sociological Dummy	0.003 (0.002)	0.001 (0.002)	0.020 (0.051)	-0.036 (0.050)		
Target- and Bid-Level Controls	Yes	Yes	Yes	Yes	Yes	Yes
Year FEs	Yes	Yes	Yes	Yes	Yes	Yes
Target Nation FEs	No	No	Yes	Yes	Yes	Yes
Industry FEs	Yes	Yes	Yes	Yes	Yes	Yes
Observations	394	394	395	395	304	304
Pseudo-R ²	0.266		0.458		0.476	
	Same Language Dummy		Same Religion Dummy		Common Border Dummy	
	Government Reaction					
	(1)		(2)		(3)	
Sociological Factor:	Opposition	Support	Opposition	Support	Opposition	Support
Foreign Acquirer Dummy	0.152*** (0.045)	-0.133*** (0.020)	0.157*** (0.034)	-0.132*** (0.014)	0.148*** (0.033)	-0.126*** (0.018)
Foreign Acq. Dummy*Sociological Factor	0.017 (0.070)	-0.003 (0.030)	0.076 (0.071)	-0.005 (0.021)	0.021 (0.059)	0.043 (0.027)
Target- and Bid-Level Controls	Yes	Yes	Yes	Yes	Yes	Yes
Year FEs	Yes	Yes	Yes	Yes	Yes	Yes
Target Nation FEs	Yes	Yes	Yes	Yes	Yes	Yes
Industry FEs	Yes	Yes	Yes	Yes	Yes	Yes
Observations	413	413	413	413	413	413
Pseudo-R ²	0.417		0.421		0.423	

- **Bilateral trust:** higher trust in the acquirer country reduces opposition and increases support for foreign bids.
- **Cultural affinity (Eurovision votes):** more affinity (higher votes) reduces opposition to foreign bidders.
- **Geography/religion/language:** common border, same language, same religion interactions are not strong predictors in this setting.

The overall message is that **sentiment and perceived affinity** matter more than mechanical proximity.

4.7 Table VI: Political factors behind nationalism

Panel A (domestic politics).

- **Weak governments:** coalition governments and lower vote shares are associated with more nationalist patterns (notably via support for foreign bids being lower when the government is a coalition).
- **Ideology:** the PM party's left-right leaning does not strongly shift the foreign/differential reaction, consistent with nationalism not being a simple left/right policy.

Panel B (EU politics).

- **Rotational EU presidency:** the interaction suggests more nationalist opposition toward foreign bids during the presidency window.
- **European Commission presidency:** the interaction pattern indicates differential treatment of foreign bids tied to Commission leadership being national of the target country.

Interpretation: EU institutional context shapes governments' willingness to act nationalistically.

Table VII
Impact of Nationalism on Merger Outcomes: Univariate Analysis

This table reports the reaction (opposition, neutral/no reaction, and support) of the target country's government and the success/failure of the merger bids. The sample contains the 25 largest merger targets by market capitalization in each of the 15 EU countries as of 1996. If there are multiple bidders for the same target, all bids are included so a country's total may exceed 25. The sample period is 1997 to 2006. Pearson Chi-squared tests the equality of distributions between failed bids and successful bids across the government reactions.

	Government Reaction			
	Opposition	Neutral	Support	Total
Failed Bids	26	120	11	157
Successful Bids	11	217	30	258
Total	37	337	41	415

Pearson's Chi-squared p -value < 0.001.

Table VI
Political Factors behind Nationalism

This table reports average marginal effect estimates for a multinomial logit model. The dependent variable is the government's reaction, which can be opposition, support, or the base outcome, no/neutral reaction. *Foreign Acquirer Dummy* is equal to one if the bidder is not from the same country as the target firm and zero otherwise. In each regression, *Foreign Acquirer Dummy* is interacted with one of the political factors. *Right Leaningness* is the ideology of the prime minister's party according to Vothens et al. (2019); *Coalition Government* is a binary variable that is one if the ruling government is a multiparty coalition; *Government Vote Share* is the total vote share of the governing parties in the most recent parliamentary elections; *EU Rotational Presidency* is a binary variable that is one if the target country holds the 6-month rotational presidency of the EU when the bid is announced; the *European Commission Presidency* is a binary variable that is one if the president of the European Commission is a national of the target country at the time the bid is announced. Heteroskedasticity-robust standard errors, corrected for clustering of observations at a national of the target country level, are in parentheses. The symbols ***, **, and * indicate significance at the 1%, 5%, and 10% levels, respectively.

Panel A: Domestic Politics

Political Factor:	<i>Right Leaningness</i>		<i>Coalition Government</i>		<i>Government Vote Share</i>	
	Government Reaction		Government Reaction		Government Reaction	
	(1)	(2)	(1)	(2)	(3)	(4)
	Opposition	Support	Opposition	Support	Opposition	Support
<i>Foreign Acquirer Dummy</i>	0.144*** (0.033)	-0.131*** (0.014)	0.143*** (0.033)	-0.136*** (0.018)	0.143*** (0.034)	-0.133*** (0.013)
<i>Foreign Acq. Dummy * Political Factor</i>	-0.002 (0.002)	0.000 (0.001)	0.054 (0.038)	-0.134*** (0.029)	-0.002 (0.005)	0.000** (0.003)
<i>Political Factor</i>	0.003 (0.002)	0.001 (0.002)	-0.481*** (0.006)	0.079*** (0.018)	0.002 (0.003)	-0.008** (0.003)
Target- and Bid-Level Controls	Yes	Yes	Yes	Yes	Yes	Yes
Year FEs	Yes	Yes	Yes	Yes	Yes	Yes
Target Nation FEs	Yes	Yes	Yes	Yes	Yes	Yes
Industry FEs	Yes	Yes	Yes	Yes	Yes	Yes
Observations	413	413	413	413	413	413
Pseudo-R ²	0.420		0.420		0.429	

Panel B: European Union Politics

Political Factor:	<i>EU Rotational Presidency</i>		<i>European Commission Presidency</i>	
	Government Reaction		Government Reaction	
	(1)	(2)	(3)	(4)
	Opposition	Support	Opposition	Support
<i>Foreign Acquirer Dummy</i>	0.145*** (0.034)	-0.132*** (0.013)	0.137*** (0.030)	-0.134*** (0.015)
<i>Foreign Acq. Dummy * Political Factor</i>	0.176*** (0.086)	-0.187 (0.118)	-0.053 (0.125)	0.088*** (0.021)
<i>Political Factor</i>	0.051 (0.048)	0.063 (0.055)	-0.068 (0.047)	-0.075*** (0.012)
Target- and Bid-Level Controls	Yes	Yes	Yes	Yes
Year FEs	Yes	Yes	Yes	Yes
Target Nation FEs	Yes	Yes	Yes	Yes
Industry FEs	Yes	Yes	Yes	Yes
Observations	413	413	413	413
Pseudo-R ²	0.423		0.437	

4.8 Table VII: Univariate impact of government reactions on completion

Table VII shows a strong raw association:

- When the government **opposes**, about 70% of bids fail (26 out of 37).
- When the government **supports**, failure is much less common (11 out of 41).

This motivates a multivariate completion regression to separate opposition/support effects from foreignness and deal characteristics.

4.9 Table VIII: Logit completion regressions (direct effects)

In the completion logit:

- **Government opposition** significantly reduces completion odds.
- **Government support** significantly increases completion odds.
- The **foreign bidder dummy** is not significant once controls and government reactions are included, consistent with bidders anticipating cross-border frictions when initiating bids.

- **European Commission intervention** is positively associated with completion, consistent with EU-level pressure mitigating nationalist barriers.

Thus, government actions are not merely symbolic; they translate into realized deal outcomes.

Table VIII
Impact of Nationalism on Merger Outcomes

This table reports coefficient estimates for a logit model. The dependent variable is equal to one if the merger bid is successfully completed, that is the merger takes place, and zero otherwise. *Government Opposition* takes a value of one if the target country's government opposes the merger. *Government Support Dummy* is equal to one if the government of the target firm supports the merger. *Foreign Acquirer Dummy* is equal to one if the bidder is not from the same country as the target, and zero otherwise. *Hostile/Unsolicited Bid Dummy* is equal to one if the bid is classified as hostile and/or unsolicited. *European Commission Intervention* equals one if the European Commission intervenes in the merger, and zero otherwise. *Ln (Acquirer Market Cap)* is the natural logarithm of the acquirer's market capitalization as of the most recent fiscal year-end before the bid is announced. Regressions include target industry, target country, and year fixed effects. Heteroskedasticity-robust standard errors, corrected for clustering of observations at the target country level, are in parentheses. The symbols ***, **, and * indicate significance at the 1%, 5%, and 10% levels, respectively.

	Successful Bid			
	(1)	(2)	(3)	(4)
Government Opposition		-1.103*	-1.570***	-1.758*
		(0.605)	(0.587)	(0.938)
Government Support		0.874**	0.693*	1.158**
		(0.443)	(0.415)	(0.496)
Foreign Acquirer Dummy	-0.293	-0.029	-0.088	0.353
	(0.256)	(0.283)	(0.291)	(0.459)
Ln(Market Cap)	-0.235**	-0.245**	-0.261**	-0.050
	(0.117)	(0.120)	(0.120)	(0.093)
Net Income/Market Cap.	1.321	1.592	1.532	1.266
	(1.033)	(1.142)	(1.097)	(0.869)
Competing Bid Dummy	-0.766***	-0.774**	-0.774**	-1.744***
	(0.269)	(0.309)	(0.350)	(0.549)
Hostile/Unsolicited Bid Dummy	-0.612*	-0.444	-0.416	-0.400
	(0.326)	(0.375)	(0.384)	(0.784)
European Commission Intervention			1.472**	
			(0.616)	
Ln(Acquirer Market Cap)				-0.241
				(0.173)
Year FEs	Yes	Yes	Yes	Yes
Target Country FEs	Yes	Yes	Yes	Yes
Target Industry FEs	Yes	Yes	Yes	Yes
Observations	413	413	413	248
Pseudo-R ²	0.098	0.122	0.144	0.213

Table IX

Impact of Nationalism on Premium Offered: Univariate Analysis

This table reports statistics on the premium offered by the reaction (opposition, support, and neutral/no reaction) of the target country's government (Panel A) and the success/failure of the merger bids (Panel B). *Premium Offered* is calculated as the final price offered minus the target's stock price as of 4 weeks before the announcement, normalized by the latter. It is winsorized at the 5% and 95% levels. *p*-values from mean difference tests for the means (between opposition and support samples in Panel A) and Wilcoxon rank-sum tests for the medians are reported. The symbols ***, **, and * indicate significance at the 1%, 5%, and 10% levels, respectively.

Panel A: Government Reaction				
	Premium Offered (%)			
	Observations	Mean	Median	Std Dev.
Opposition	28	43.60	30.71	36.67
Support	34	33.02	24.26	29.97
Neutral/No Reaction	244	28.70	20.02	32.10
<i>p</i> -Value from Mean Difference Test (Opposition vs. Support)		0.23		
<i>p</i> -Value from Wilcoxon Rank-Sum Test (Opposition vs. Support)			0.18	
Panel B: Merger Outcome				
	Premium Offered (%)			
	Observations	Mean	Median	Std Dev.
Failed Bids	82	31.70	25.69	31.80
Successful Bids	224	30.12	21.15	32.81
<i>p</i> -Value from Mean Difference Test		0.70		
<i>p</i> -Value from Wilcoxon Rank-Sum Test			0.41	

4.10 Table IX: Premiums (univariate)

Opposed bids exhibit higher mean/median premiums than supported bids, but differences are not statistically significant. This suggests (at least unconditionally) that any “takeover barrier” effect on premiums is not cleanly identified without addressing endogeneity.

4.11 Table X: Premiums (IV results)

Table X implements a two-stage IV approach (first-stage probits; second-stage 2SLS using predicted probabilities as instruments). Key conclusion:

- Instruments are relevant (first-stage F-statistics > 10).
- **Instrumented government opposition and support are not statistically different from zero** in explaining premiums offered or premiums received.

Interpretation: while governments affect *whether* deals go through, they do not robustly shift the *price paid* once selection/endogeneity is handled.

Table X
Impact of Nationalism on Premiums Offered

This table reports results of instrumental variables estimation. The first two regressions of each panel report estimates from a first-stage probit model, where the dependent variable is the government reaction: *Opposition* or *Support* (the target country government's lack of reaction or neutrality is the omitted category in the second stage). Predicted values from these regressions are used as instruments for government opposition and support to explain the merger premium offered to the targets. *Premium Offered*, the dependent variable in the second stage reported in Panel A, is calculated as the final price offered minus the target's stock price as of 4 weeks before the announcement, normalized by the latter. In Panel B's last column, this variable is multiplied by the successful bid dummy, creating the dependent variable *Premium Received*. Both dependent variables are winsorized at the 5% and 95% levels. The F -statistic tests the joint significance of the instruments. Heteroskedasticity-robust standard errors, corrected for clustering of observations at the target country level, are in parentheses. The symbols ***, **, and * indicate significance at the 1%, 5%, and 10% levels, respectively.

	Panel A: Premium Offered			Panel B: Premium Received		
	First-Stage Probit		Second Stage	First-Stage Probit		Second Stage
	(1) Opposition	(2) Support	Premium	(1) Opposition	(2) Support	Premium
Coalition Dummy	-3.328*** (0.870)			-3.752*** (1.083)		
Govt. Vote Share		-0.068* (0.038)			-0.056* (0.033)	
EC Presidency Dummy		-1.235*** (0.336)			-0.851*** (0.234)	
Opposition (Instrumented)			19.249 (18.368)			-12.769 (18.653)
Support (Instrumented)			6.240 (17.838)			5.875 (17.298)
Foreign Acquirer Dummy	1.190** (0.541)	-1.334*** (0.397)	1.822 (5.994)	1.364*** (0.463)	-1.304*** (0.245)	-1.246 (4.995)
Ln(MarketCap)	0.099 (0.094)	0.343*** (0.114)	-1.072 (1.963)	0.127 (0.084)	0.223** (0.088)	-2.159 (1.518)
Net Income/Market Cap	1.314 (1.857)	1.083 (2.393)	22.793 (23.610)	0.974 (1.472)	-0.226 (1.726)	11.791 (8.630)
Competing Bid Dummy	1.139*** (0.383)	0.485* (0.250)	12.605* (6.979)	0.992*** (0.334)	0.540* (0.283)	6.038 (4.969)
Hostile/Unsolc. Bid Dummy	1.209*** (0.462)	-0.233 (0.274)	7.481 (4.478)	0.981*** (0.304)	-0.089 (0.228)	4.719 (6.066)
Target Nation FEs	Yes	Yes	Yes	Yes	Yes	Yes
Target Industry FEs	Yes	Yes	Yes	Yes	Yes	Yes
Year FEs	Yes	Yes	Yes	Yes	Yes	Yes
Observations	306	306	306	380	380	380
Pseudo- R^2/R^2	0.457	0.429	0.211	0.408	0.382	0.104
F -statistics	14.65***	15.92***		12.01***	15.10***	

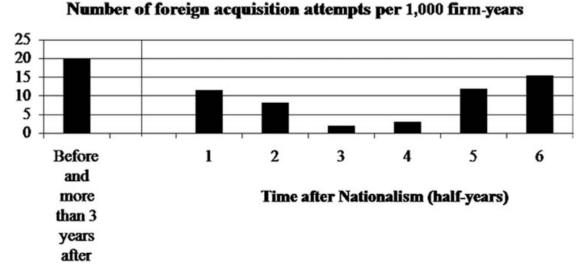


Figure 2. The number of foreign acquisition attempts per 1,000 firm-years: Before and after nationalism in target country. This figure compares the rate of receiving an acquisition bid from a foreign firm (incidence rate) before and after the most recent nationalist reaction to another target's merger in that country. Nationalist reaction is defined as the support of a domestic bid or opposition to a foreign bid by the domestic government. The sample includes all the 50 largest companies by market capitalization in EU countries at the end of 1996 and follows them between 1997 and 2006. Once a company receives a bid, it is dropped from further analysis. Countries with no nationalist reaction during that time are excluded. The time is in half-years and the number of foreign bids received is per 1,000 firm years.

4.12 Figure 2: Incidence of foreign bids before and after nationalism

Figure 2 plots foreign acquisition attempts per 1,000 firm-years around nationalist interventions. The incidence drops after nationalism, reaches a low point roughly 13–18 months after, and then recovers. This is the descriptive “deterrence” pattern that the hazard regressions formalize.

4.13 Table XI: Firm-level Cox hazards (deterrence)

The half-year indicators after nationalism are largely negative, with the strongest and most significant declines around the **3rd and 4th half-year** windows. Interpretation: nationalism **reduces the hazard** of receiving a foreign bid for other firms in the country (deterrence), and the effect persists for roughly 1–2 years.

4.14 Table XII: Country-level Cox hazards (robustness)

A country-level hazard specification confirms the same qualitative pattern: significant reductions in foreign-bid arrival rates in the 2nd–4th half-years after nationalism. Interpretation: deterrence is not solely a composition effect at the firm level; it shows up at the country level as well.

Table XI

Deterrent Effect of Nationalism on Future Foreign Merger Attempts

This table presents results from estimating a firm-level Cox proportional hazard regression for a company to receive its first foreign acquisition bid. The sample is the top 50 listed companies in each country (except Luxembourg) as of the end of 1996. The variable *1st Half-Year* is a dummy variable that takes the value of one in the first 6 months after a nationalist reaction in the target country, where nationalist reaction is defined as opposition to foreign bidders or support for domestic bidders; the other half-year dummy variables are defined accordingly. For regressions under "Most Recent Nationalist Intervention Only," these variables are constructed based on the most recent nationalist reaction in that country, that is, at most one of these variables can be one at a given time. For regressions under "All Nationalist Interventions in the Previous 3 Years," these variables are constructed based on all the nationalist reactions in the previous 3 years in that country, that is, more than one of these variables can be one at a given time. Firm-level and macroeconomic controls are as of the most recent fiscal year-end and as of the previous year-end, respectively. Regressions include target industry and target country fixed effects. Heteroskedasticity-robust standard errors, clustered at the target country level, are in parentheses. *, **, *** denote statistical significance at the 10%, 5%, and 1% levels, respectively.

		Most Recent Nationalist Intervention Only		All Nationalist Interventions in the Previous 3 Years	
Ln (Market cap)	0.170* (0.101)	0.163 (0.103)	0.132 (0.096)	0.167 (0.103)	0.135 (0.095)
Net Income/Market Cap.	-0.058 (0.055)	-0.060 (0.059)	0.008 (0.045)	-0.059 (0.057)	0.006 (0.044)
GDP Growth Rate	-0.161 (0.128)	-0.091 (0.118)	-0.089 (0.132)	-0.102 (0.122)	-0.100 (0.134)
Unemployment Rate	0.001 (0.069)	-0.007 (0.070)	-0.030 (0.076)	-0.016 (0.069)	-0.048 (0.080)
<i>After Nationalism</i>					
1 st Half-Year		-0.544 (0.595)	-0.677 (0.661)	-0.092 (0.603)	-0.194 (0.652)
2 nd Half-Year		-1.256** (0.509)	-1.351** (0.536)	-0.472 (0.512)	-0.602 (0.526)
3 rd Half-Year		-2.711*** (1.014)	-2.678*** (0.996)	-1.491*** (0.560)	-1.460** (0.576)
4 th Half-Year		-2.008 (1.066)	-2.058 (1.076)	-1.343 (0.792)	-1.404 (0.764)
5 th Half-Year		-1.147 (0.695)	-1.227* (0.680)	-0.861* (0.511)	-0.904* (0.507)
6 th Half-Year		-0.528 (0.762)	-0.495 (0.752)	-0.149 (0.553)	-0.103 (0.564)
Industry FEs	Yes	Yes	Yes	Yes	Yes
Target country FEs	Yes	Yes	Yes	Yes	Yes
		Countries with Nationalism Only	Countries with Nationalism Only	Countries with Nationalism Only	All Countries
Sample					
Number of Firms	624	624	721	624	721
Firm-Years at Risk	5,232	5,232	6,098	5,232	6,098

Table XII

Deterrent Effect of Nationalism on Future Foreign Merger Attempts: Country-Level Analysis

This table presents results from estimating a country-level Cox proportional hazard regression for one of the top 50 listed companies in that country as of the end of 1996 (except Luxembourg) to receive a foreign acquisition bid. The variable *1st Half-Year* is a dummy variable that takes the value of one in the first 6 months after a nationalist reaction in the target country, where nationalist reaction is defined as opposition to foreign bidders or support for domestic bidders; the other half-year dummy variables are defined accordingly. For regressions under "Most Recent Nationalist Intervention Only," these variables are constructed based on the most recent nationalist reaction in that country, that is, at most one of these variables can be one at a given time. For regressions under "All Nationalist Interventions in the Previous 3 Years," these variables are constructed based on all the nationalist reactions in the previous 3 years in that country, that is, more than one of these variables can be one at a given time. Macroeconomic control variables are as of the previous year-end. Heteroskedasticity-robust standard errors, clustered at the country-level, are in parentheses. *, **, and *** denote statistical significance at the 10%, 5%, and 1% levels, respectively.

	Most Recent Nationalist Intervention Only	All Nationalist Interventions in the Previous 3 Years
GDP Growth Rate	-0.000 (0.058)	-0.026 (0.052)
Unemployment Rate	-0.041 (0.048)	-0.033 (0.041)
<i>After Nationalism</i>		
1 st Half-Year	-0.165 (0.395)	0.433 (0.376)
2 nd Half-Year	-1.119** (0.523)	-0.709 (0.484)
3 rd Half-Year	-1.929** (0.961)	-1.217** (0.433)
4 th Half-Year	-1.909** (0.962)	-1.612** (0.743)
5 th Half-Year	-0.640 (0.423)	-0.704* (0.347)
6 th Half-Year	0.152 (0.620)	-0.082 (0.404)
Number of Countries	15	15
Country-Years at Risk	150	150

5 Conclusion

5.1 Summary

This paper concludes that **economic nationalism is pervasive and economically consequential in European cross-border M&A**. Using a hand-collected dataset of government reactions to merger bids for the largest listed firms in EU-15 countries (1997–2006), the authors show that target-country governments **systematically treat foreign and domestic bidders differently**: foreign bids are much more likely to be **opposed** and much less likely to be **supported** than domestic bids.

The conclusions form one coherent chain:

1. **Nationalism is visible in government behavior.** A simple tabulation already reveals large differences: for domestic bids, governments oppose 9 and support 34; for foreign bids, they oppose 28 and support 7 (neutral is the modal category for both). The distributions differ strongly (Pearson χ^2 test $p < 0.001$).
2. **The differential treatment remains in multivariate models.** In multinomial logit models controlling for deal characteristics (hostility, competing bids) and target characteristics (size, profitability) with fixed effects, the foreign-bid indicator substantially increases the probability of **opposition** and decreases the probability of **support**. In the baseline specification, the average marginal effects imply that a foreign bidder raises the probability of opposition

by about **15.1 percentage points** and lowers the probability of support by about **13.6 percentage points**.

3. **Nationalist sentiment predicts stronger nationalism.** Nationalism is stronger in countries with stronger nationalist sentiment, proxied by far-right vote share and survey attitudes toward foreigners, and weaker when there is higher bilateral trust/affinity toward the acquirer country (including cultural-affinity proxies).
4. **Political conditions shape the strength of intervention.** Nationalism is more pronounced when governments are politically weaker or more fragmented (e.g., coalition governments and lower vote shares), and it varies with EU political conditions (e.g., rotational presidency timing), consistent with political incentives affecting intervention.
5. **Government interventions have real effects on deal completion.** Opposition significantly reduces the probability of completion, while support increases it. In logit specifications, opposition has a large negative coefficient (e.g., around -1.57), corresponding to an odds ratio of $\exp(-1.57) \approx 0.21$, while support has a positive coefficient (e.g., around 0.87), corresponding to $\exp(0.87) \approx 2.40$. The foreign-bid dummy itself becomes small and statistically insignificant once government reactions are included, indicating that what matters for completion is the *intervention* rather than “foreignness” per se.
6. **Nationalism deters future foreign bids.** A nationalist intervention in a country reduces subsequent foreign acquisition attempts for about **1–2 years**. Cox hazard estimates show strong negative effects in the 2nd–5th half-year windows after nationalism, with the largest reduction around the 3rd half-year.
7. **Premium effects are not robust once endogeneity is addressed.** Although opposed or supported deals may look different in raw premium comparisons, instrumental-variables estimates do **not** find a statistically significant causal effect of government opposition/support on takeover premiums offered or received.

5.2 Why governments behave this way

The paper’s intuition is political economy with a “national champion” object:

1) Why foreign bids trigger opposition. Foreign takeovers can be framed (by politicians, media, unions, and voters) as threats to domestic employment, headquarters location, strategic industries, or national identity. Even when the economic costs/benefits are ambiguous, **the political salience is high**, making intervention attractive.

2) Why nationalism depends on sentiment and affinity. If the electorate has stronger anti-foreigner attitudes or votes more for nationalist parties, then the political payoff to resisting foreign ownership is larger. Conversely, higher trust/affinity toward the acquirer country reduces perceived threat, lowering the payoff to intervention.

3) Why weak governments intervene more. Coalitions and low vote-share governments face tighter political constraints and may be more responsive to concentrated interests or symbolic political gestures. Opposing foreign bids can serve as a relatively low-cost signal of “protecting national interests” to maintain support.

4) Why deterrence arises naturally. Foreign bidders rationally update from observed interventions: Observed intervention today $\Rightarrow$ higher expected probability of delay/blocking tomorrow $\Rightarrow$ fewer future bids (or fewer announced bids). Thus, even if only a subset of bids is directly blocked, the *expectation* of intervention reduces the hazard of future foreign bids.

5) Why premiums may not move much. Two offsetting forces can neutralize the premium effect: (i) governments may block some deals outright (selection on which deals survive), and (ii) surviving deals may already have terms that accommodate political constraints (pre-emptive bargaining). Once this selection/endogeneity is addressed, a stable premium effect is harder to detect.

5.3 Takeaway

Dinc and Erel show that EU governments systematically favor domestic over foreign acquirers, that this economic nationalism is stronger when nationalist sentiment and political incentives are stronger, that interventions materially affect deal completion and deter future foreign bids for up to two years, but that interventions do not robustly shift takeover premiums once endogeneity is handled.